

US Rates Watch

Long goodbye

Longs find the exit

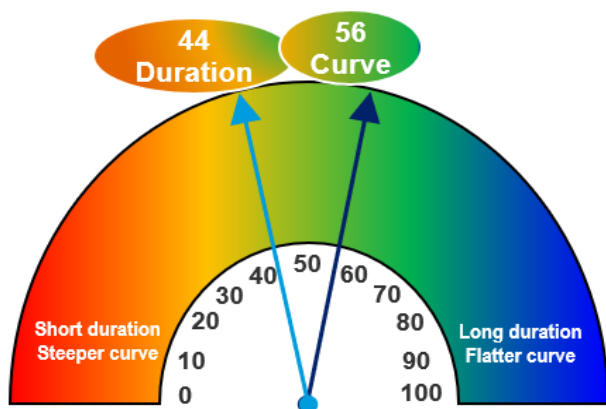
Longs have capitulated across the curve, leaving only limited residual out of the money exposure, while shorts now dominate and sit largely in the money. Global asset managers are also contending with potential Fed hikes & are adjusting positioning accordingly (see: [Fed hikes enter the chat](#)). CTAs are stretched short and increasingly so further out the curve. At the same time, active managers remain underweight USTs and overweight spreads, with IG and MBS outperformance reinforcing that tilt.

The key tension is in flows. Even as positioning washes out and longs exit, higher yields are drawing money back in. Fund inflows have accelerated—led by Agg, short-duration, and IG—while long-duration funds see outflows, signaling shift toward shorter WAM.

Foreign dynamics add another layer. Japanese investors remained net sellers through March, though extent of recent FX intervention selling is still unclear. For now, there is limited evidence of large, sustained official UST liquidation, but the risk remains if intervention flows scale further.

Exhibit 1: Curve-o-meter

Rates to trade like positioning is modestly short & in flattener; residual out of the money longs continue to bias rates to selloff



Source: BofA Global Research, Note: dial shows duration = average 5y percentiles of CTA positioning + net OTM position implied from futures positioning proxy + CFTC non-comm ex LF + fund regression duration beta. Curve = avg 5y percentiles of CTA betas + futures positioning proxy + fund regression curve beta

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Long capitulation

Our futures positioning proxy shows that out of the money longs were closed across the curve last week (Exhibit 11 and Exhibit 12). Long exposure has thinned across the curve, with only residual OTM longs in TU, TY, and WN. Shorts now dominate and sit largely ITM. Positioning still skews bearish, with net OTM longs keeping a selloff bias intact.

Report continued on subsequent pages...

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Refer to important disclosures on page 24 to 26. Analyst Certification on page 24. 12975167

18 May 2026

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CFTC: Commodities Futures Trading Commission

CTA: Commodity Trading Adviser

FV: Treasury 5Y contract

ITM: In the Money

MBS: Mortgage Backed Securities

OTM: Out of the Money

US: Treasury 20Y contract.

UST: Treasury Security

SF: SOFR Futures

TY: Treasury 10Y contract

TIC: Treasury International Capital

WN = Treasury 30Y contract

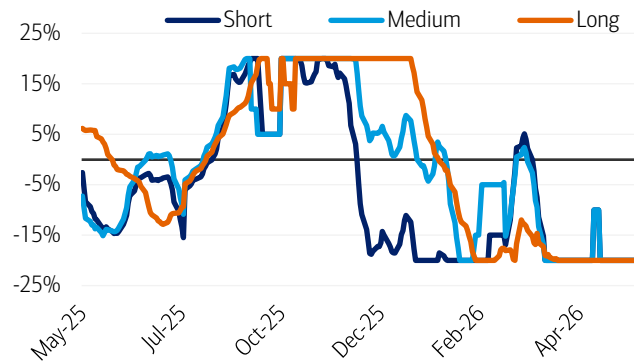
See Appendix on page 23 for a detailed list of abbreviations and acronyms.

CTAs are at stretched shorts across the curve

Our systematic strategies team sees stretched CTA shorts shifting from the front end to the long end in recent weeks (Exhibit 2 & Exhibit 3, see [Flows monitor](#)). They note the next moves in positioning will be largely dependent on vol. Should futures continue to decline on lower vol, shorts could continue to grow, but if vol increases, they we would expect shorts to pull back.

Exhibit 2: 2y contract CTA positioning across different lookback models

All lookback models suggest CTAs are short 2y

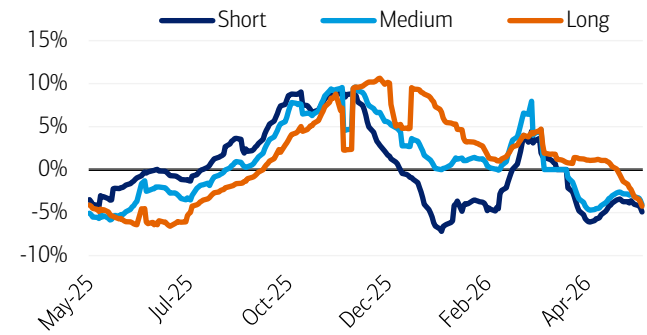


Source: BofA Global Research

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Exhibit 3: 30y contract CTA positioning across different lookback models

All lookback models suggest CTAs are short 30y



Source: BofA Global Research

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Asset managers also get shorter

Asset managers largely added to shorts or closed longs last week (Exhibit 9). Net shorts were increased across all points besides US & WN. New longs were only created at the long end of the curve, pointing to some flattener repositioning. Total flows over the last 4w also reflect net short positioning pivot (Exhibit 10).

Active funds are OW spreads, UW USTs

Active benchmark Agg funds remain underweight (UW) USTs and overweight (OW) MBS & IG (Exhibit 43- Exhibit 48). They are also relatively neutral curve. Over the past month, the biggest change in positioning has been the growing IG overweight. Spread overweights have supported active performance with IG & MBS outperforming USTs since the start of April (Exhibit 42).

Higher yields have driven inflows & WAM shortening

Positioning still looks broadly short, but fund flows have firmed as duration sold off (Exhibit 37). US FI funds took in \$18bn last week—2x the 12-week pace. Inflows were led by Agg, short gov, and IG, while long gov was the lone outflow, reinforcing a shift to shorter WAM alongside renewed hike pricing.

Japanese private investors sell in March

MoF data released last week shows Japanese private investors sold \$14bn of USTs in March after \$18bn of sales in Feb, when rates were at low end of recent range. Much of the selling was driven by banks, though pensions & lifers were active sellers as well (Exhibit 35). In recent weeks however, foreign private bond holdings have been inflecting higher suggesting some dip buying (Exhibit 27).

Potential of JPY intervention signs in Fed data

Recent suspected JPY intervention has raised questions on funding source and whether it drove UST sales. Our JPY strategists estimate ~\$72bn intervention flow—potentially largest since '22—with implied UST sales of \$40–50bn (see: [Japan Rates and FX Watch](#)).

Initial changes in foreign RRP & custodial flows showed little evidence of foreign sales the week before or after suspected intervention (as of April 30). Data released Thursday for the week ending May 13 showed a \$23bn decline from the week prior and a more modest \$10bn decline since week before potential intervention. Foreign RRP, a proxy for



official sector cash, has been little changed (Exhibit 33 & Exhibit 34). Changes on net are significantly lower than potential intervention size. The widening in front-end swap spreads since April 29 is also inconsistent with market-moving official sales.

Funding of the intervention thus remains unclear. There was sharp official selling through March, likely contributing to weaker auction demand (see: [Tail spin](#)). Monday's TIC data should clarify which regions drove March sales.

If further JPY intervention requires sales, something closer to ~\$100bn would likely be more consequential for the UST market. That scale aligns with custodial declines at the start of the Iran conflict which likely contributed to the pullback in broader demand and may pose a headwind to long front-end spread positions.



Week Ahead

Exhibit 4: On deck next week

Calendar of upcoming events

	US Data			Fed Speaker / Event	Treasury Auction			Treasury Settlements	
	Series	BofA	BB Consensus		Security	Amount (\$bn)	Prior Δ	Security	(\$bn)
M, May 18	NAHB Housing Market Index	34	34		13-Week Bills	89	0		
					26-Week Bills	77	0		
T, May 19	ADP Weekly Employment Change	—	—	8:00 Fed's Waller in Moderated Discussion	6-Week Bills	85	5	Bills	40
	Pending Home Sales MoM	1.50%	1.60%	19:00 Fed's Paulson Speaks on Economic Outlook					
W, May 20	FOMC Meeting Minutes	—	—	9:15 Fed's Barr Speaks on Consumer Financial Health	20-Year Bond	16			
T, May 21	Initial Jobless Claims	207k	—		9-Year 8-Month TIPS	19		Bills	17
	Philadelphia Fed Business Outlook	15	12						
	Housing Starts	1400k	1420k						
	Building Permits	1350k	1385k						
	S&P Global US Manufacturing PMI	53.8	—						
	S&P Global US Services PMI	51.5	—						
F, May 22	U. of Mich. Sentiment	48	48.2	10:00 Fed's Waller Speaks on Economic Outlook					

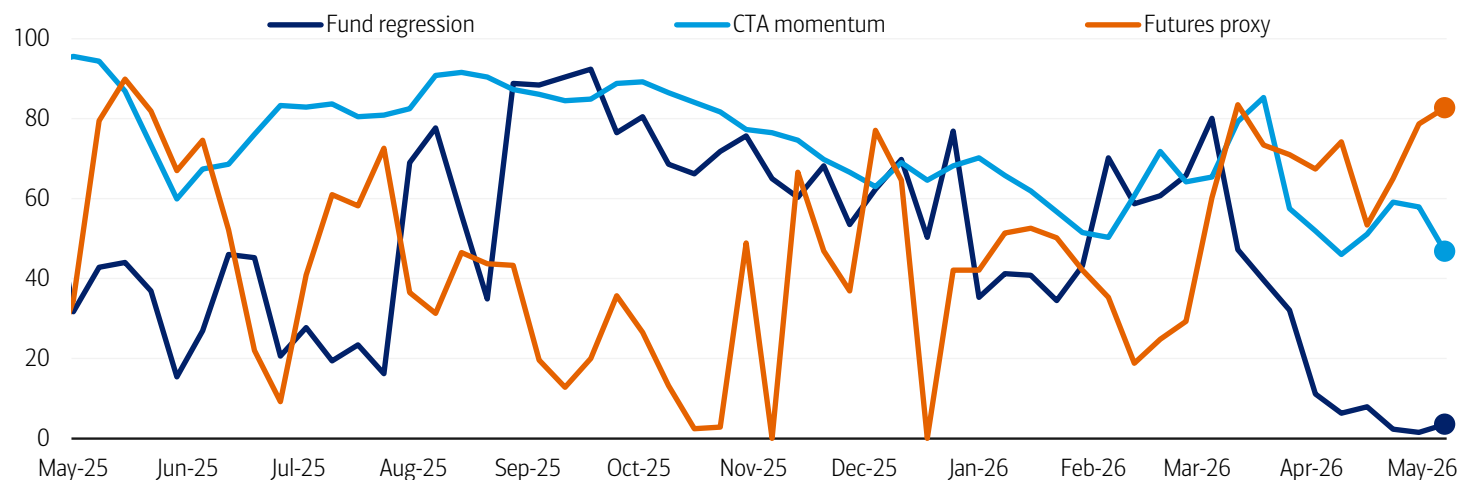
Source: BofA Global Research, Bloomberg, US Treasury

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Positioning indicators

Exhibit 5: 5y percentile of 10 equivalent duration positioning (percentile: higher = longer)

Futures proxy shows longs are still out of the money, funds are underweight, our top down 10y momentum figure suggests modest CTA shorts



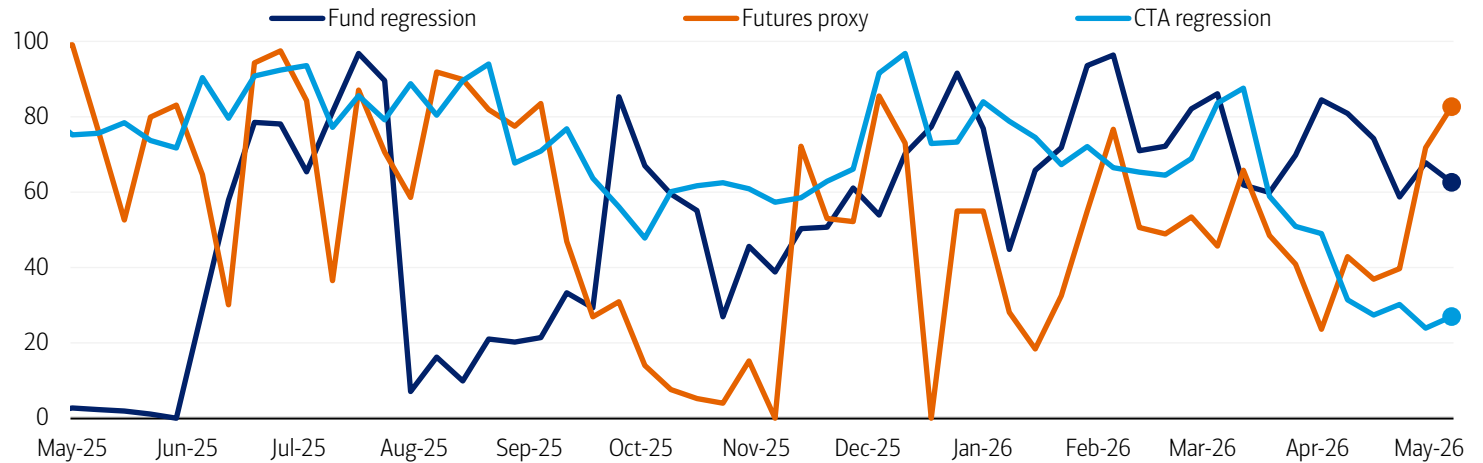
Source: BofA Global Research, Bloomberg

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Exhibit 6: 5y percentile of curve positioning (percentile: higher = longer back-end relative to front end)

Futures proxy skewed flatter; fund regression still relatively neutral while CTAs regression implies steepener

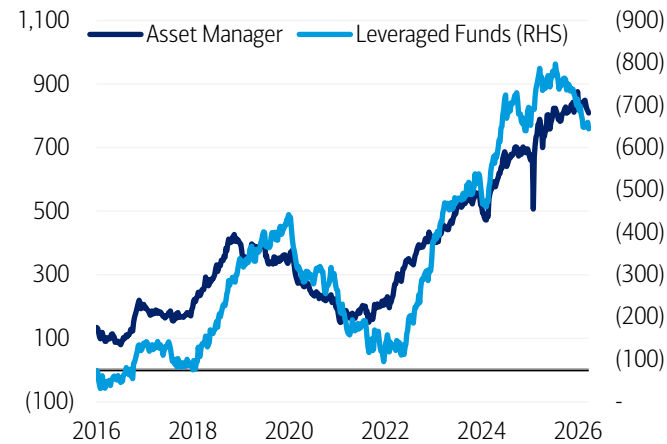


Source: BofA Global Research, Bloomberg

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Exhibit 7: Asset manager and leveraged fund positioning (10y equivalent, \$bn)

Asset manager longs correspond with leveraged fund shorts

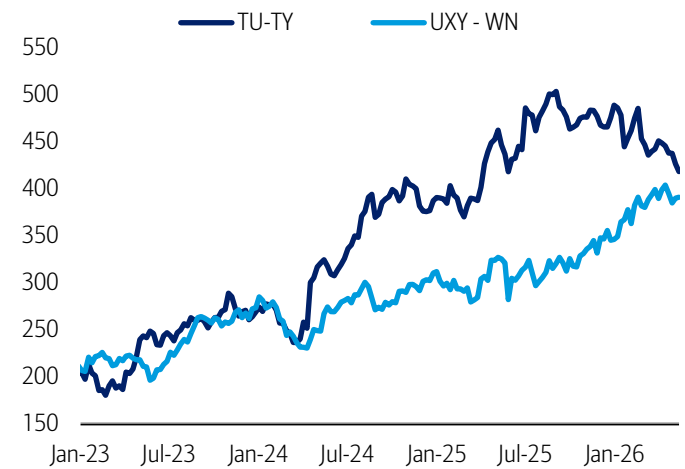


Source: BofA Global Research, Bloomberg

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Exhibit 8: Asset manager futures positioning in 10y equivalents (\$bn)

More longs in TU-TY vs UXY - WN but deviation is narrowing

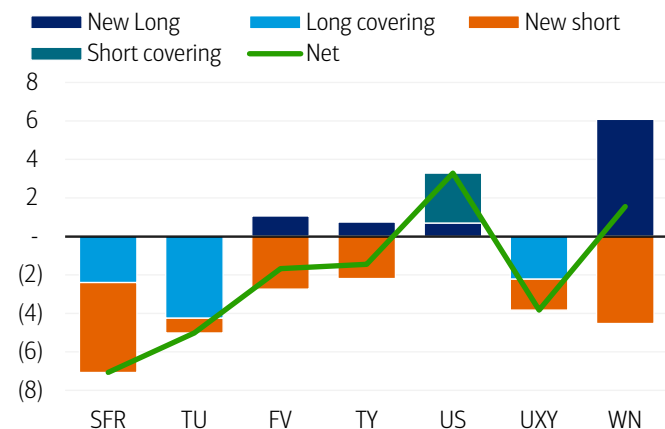


Source: BofA Global Research, Bloomberg

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Exhibit 9: Decomposition of 1w change in asset manager open interest (10y equivalent, \$bn)

More AM shorts created last week; significant new longs created at WN only

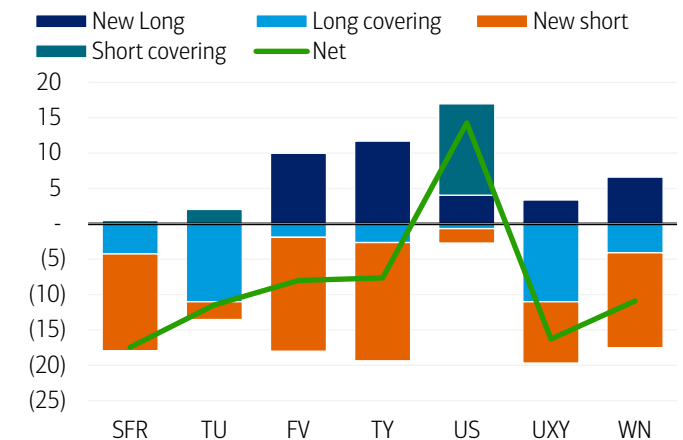


Source: BofA Global Research, Bloomberg

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Exhibit 10: Decomposition of 4w change in asset manager open interest (10y equivalent, \$bn)

Last 4w positioning stays mixed with more new vs covered positions

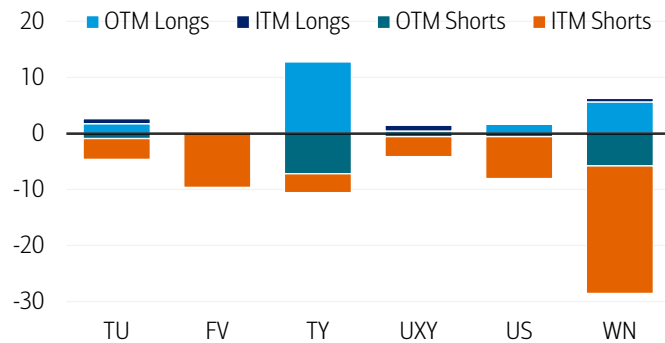


Source: BofA Global research, Bloomberg

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Exhibit 11: Proxies for futures positioning (\$mil '01, duration-weighted by contract)

In the money positions are predominantly shorts with some long out of the money in TY and WN points of the curve

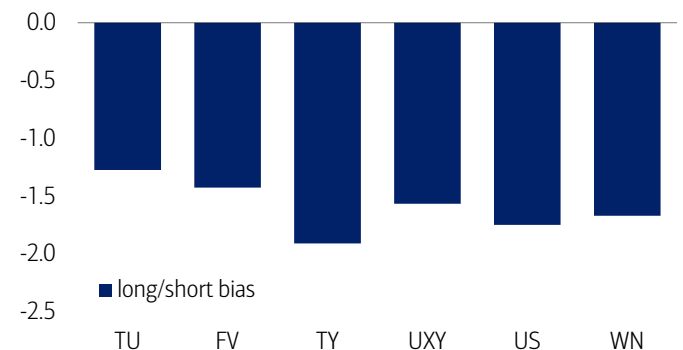


Source: BofA Global Research, Bloomberg; Note: see Appendix A.1. on how to read proxies for futures positioning

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Exhibit 12: Analysis of proxies for futures positioning

Futures proxy implies most of curve to selloff

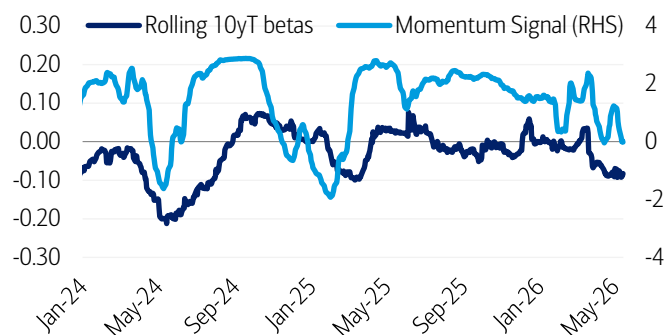


Source: BofA Global Research, Bloomberg; Note: reflects the average z-score of the return signal stack over the last 5 days vs past 3mo. Positive signal implies net OTM position is short & rates are biased to rally; similarly, negative signal implies net OTM position is long & a bias for rates to selloff

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Exhibit 13: CTA positioning in 10yT

Momentum suggests longs reduced at 10y point; Betas imply shorter than momentum

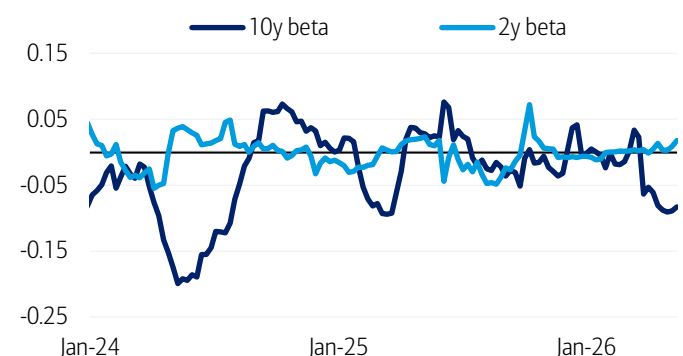


Source: BofA Global Research

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Exhibit 14: CTA positioning in 2y vs 10y UST

Top-down model shows CTAs are taking more underweight risk at 10y



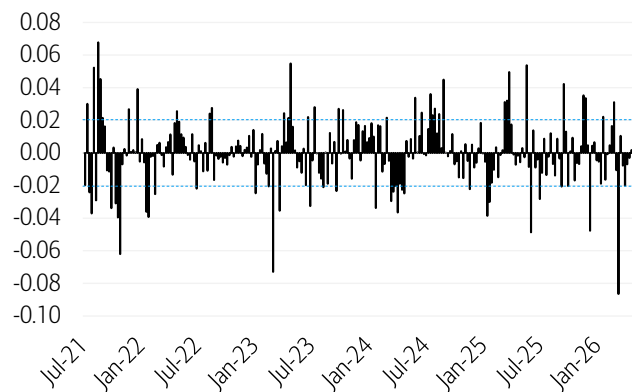
Source: BofA Global Research

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Exhibit 15: Changes in CTA 10yT beta

Beta increased modestly on the week

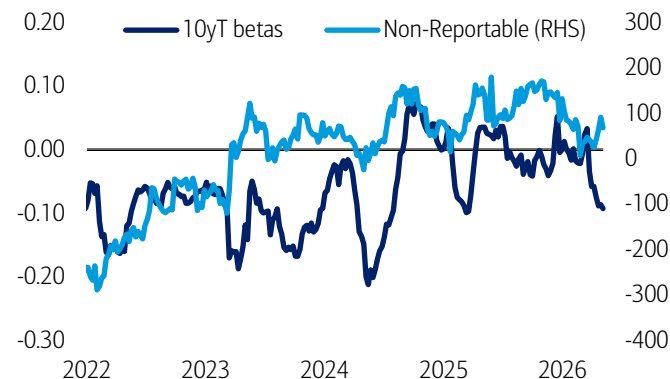


Source: BofA Global Research

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Exhibit 16: CTA 10y TSY beta and non-reportable positions

Non-reportable and betas both suggest recent increase in shorts



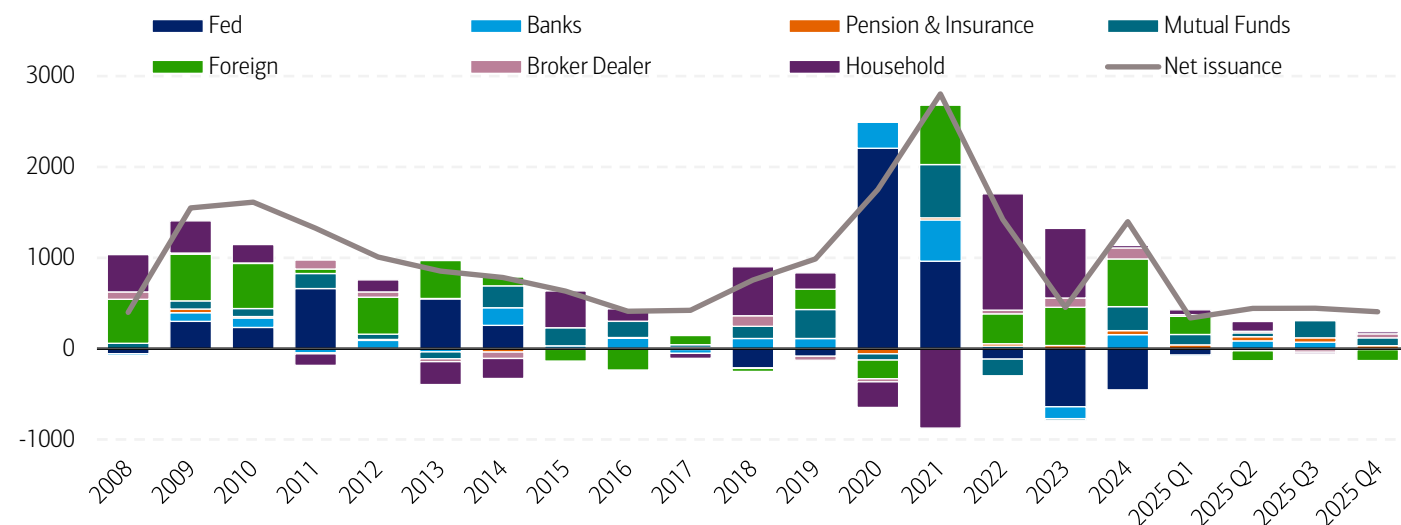
Source: BofA Global Research, Bloomberg

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Flow of funds

Exhibit 17: UST supply versus sources of demand (\$bn)

Demand in Q4 was weaker relative to Q3 despite similar supply

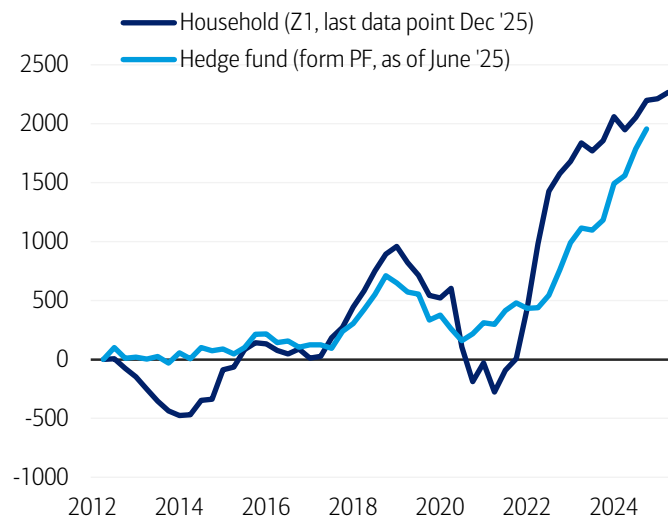


Source: BofA Global Research, Federal Reserve, Note: only reflects real money categories from flow of funds that generally invest in Treasury coupon securities. Net issuance is coupon supply excluding Fed flows, which are shown as negative for periods where Fed is reducing size of its balance sheet

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Exhibit 18: Change in UST holdings (\$bn)

Much of growth in household holdings likely driven by hedge funds

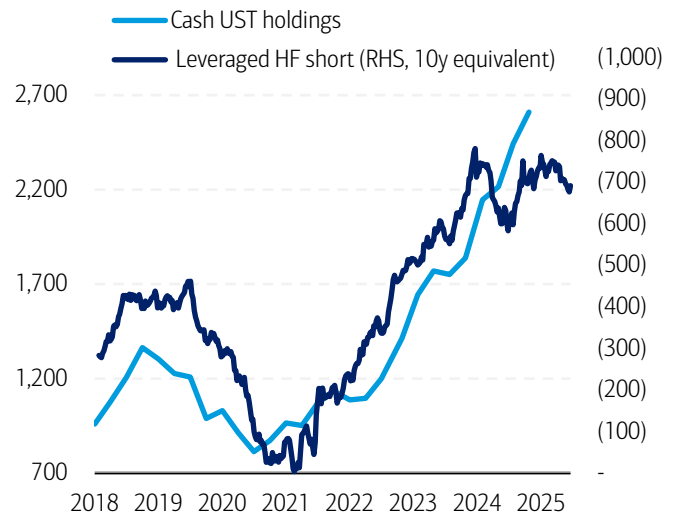


Source: BofA Global Research, Federal Reserve, Haver

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Exhibit 19: Hedge fund cash UST holdings vs leveraged HF shorts (\$bn)

Form PF data shows growth in cash UST since 2022, short futures position picked up since drop in Q4 2024



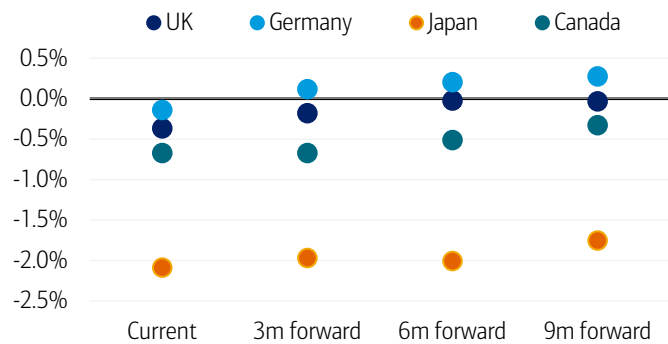
Source: BofA Global Research, Federal Reserve, Haver

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FX hedged pickup and foreign flows

Exhibit 20: FX hedged pickup of TSYs versus local alternatives implied by forwards

Market pricing suggests relatively negative pickup for major foreign investor types



Source: BofA Global Research, Bloomberg. Note: pickup vs 10y local alternative except Japan which is relative to 20y JGB using 3m forward FX hedge

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Exhibit 21: 10Y UST pickup to 20Y JGB, with 3m FX hedge (bps)

10y TSY pickup versus 20y JGBs is still very negative



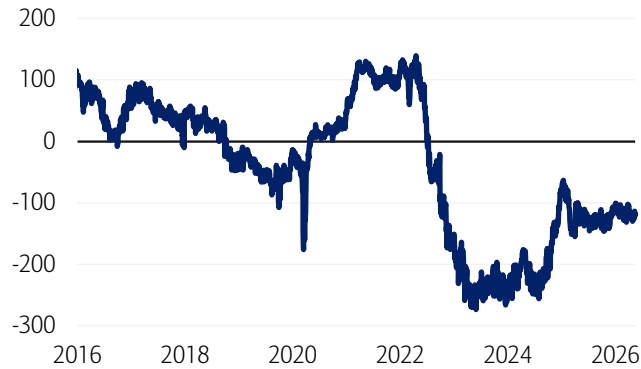
Source: BofA Global Research, Bloomberg

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Exhibit 22: 10Y UST pickup to 10Y JGB, with 3m FX hedge (bps)

10y TSY offers negative hedged pickup versus 10y JGBs



Source: BofA Global Research, Bloomberg

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Exhibit 23: 10Y UST pickup to 10Y Bund, with 3m FX hedge (bps)

10y TSY hedged pickup still negative versus 10y Bund

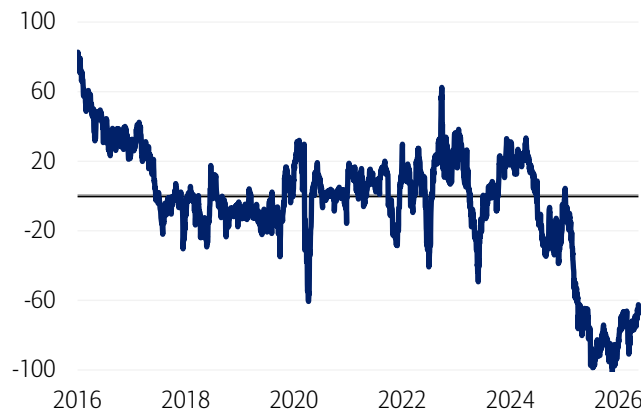


Source: BofA Global Research, Bloomberg

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Exhibit 24: 10Y UST pickup to 10Y CAD govie, with 3m FX hedge (bps)

10y TSY hedged pickup increasingly negative versus 10y CAD gov bond

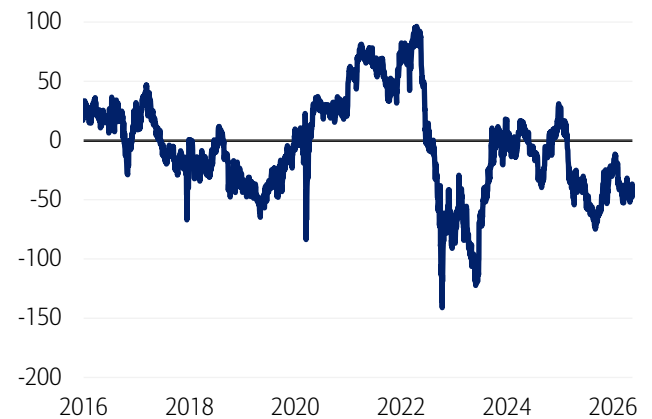


Source: BofA Global Research, Bloomberg

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Exhibit 25: 10Y UST pickup to 10Y Gilt, with 3m FX hedge (bps)

10y TSY offers negative pickup versus gilts



Source: BofA Global Research, Bloomberg

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Exhibit 26: 3m rolling JPY currency hedge

From the perspective of Japanese investors, pickup is negative across almost all compared regions; most notably US, Germany, and UK

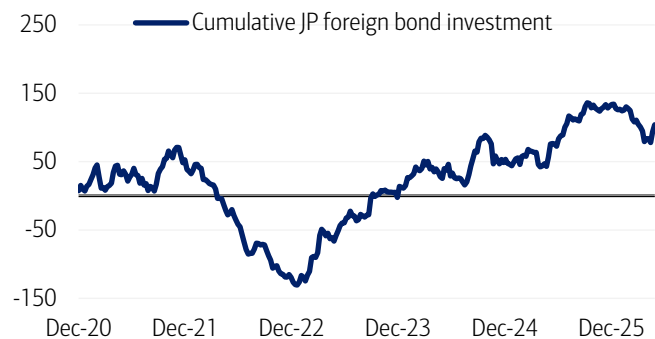
	May 14 '26		As of 1 wk ago		As of 1 mo ago		As of 1 yr ago	
	Pickup to 10y JGB	Pickup to 20Y JGB	Pickup to 10y JGB	Pickup to 20Y JGB	Pickup to 10y JGB	Pickup to 20Y JGB	Pickup to 10y JGB	Pickup to 20Y JGB
10y UST	-1.16%	-2.09%	-1.16%	-2.05%	-1.21%	-2.07%	-1.15%	-2.07%
10y GER	-1.03%	-1.95%	-0.91%	-1.80%	-0.82%	-1.67%	-0.63%	-1.56%
10y FRA	-0.41%	-1.33%	-0.30%	-1.19%	-0.18%	-1.03%	0.04%	-0.89%
10y BEL	-0.49%	-1.41%	-0.37%	-1.26%	-0.26%	-1.11%	-0.10%	-1.02%
10y ITA	-0.30%	-1.22%	-0.19%	-1.08%	-0.05%	-0.90%	0.37%	-0.56%
10y SPA	-0.61%	-1.53%	-0.50%	-1.39%	-0.37%	-1.22%	-0.01%	-0.94%
10y UK	-0.80%	-1.72%	-0.75%	-1.64%	-0.78%	-1.63%	-0.82%	-1.74%
10y CAN	-0.53%	-1.46%	-0.51%	-1.40%	-0.45%	-1.30%	-0.51%	-1.43%

Source: BofA Global Research, Bloomberg

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Exhibit 27: Japan investment in foreign bonds, cumulative weekly (\$bn)

Long & medium term bonds holdings rose \$10bn on the week

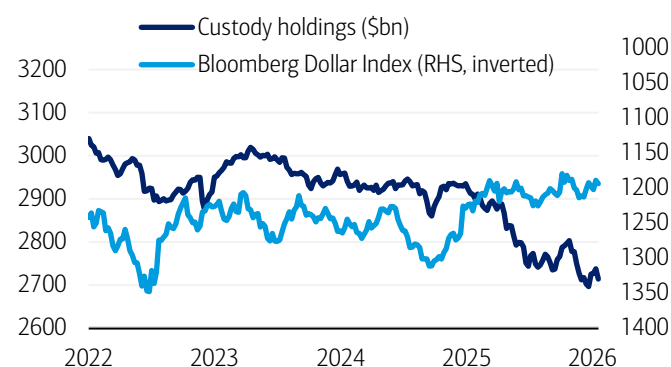


Source: BofA Global Research, Bloomberg

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Exhibit 28: Weekly UST custody holdings, foreign official (\$bn)

Custody holdings declined \$24bn on the week

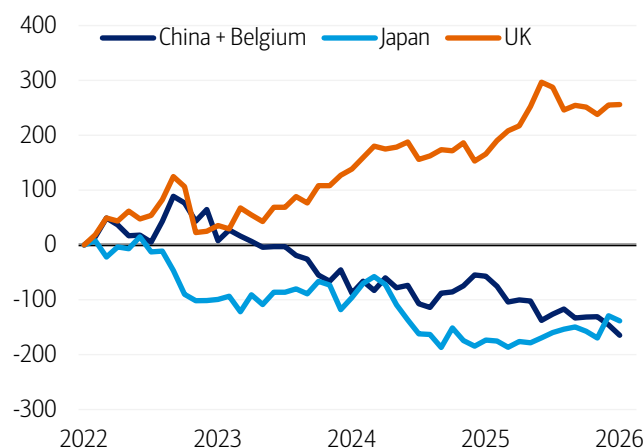


Source: BofA Global Research, NY Fed

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Exhibit 29: Cumulative UST flows from foreign investors (\$bn)

UK has been large buyer since '21

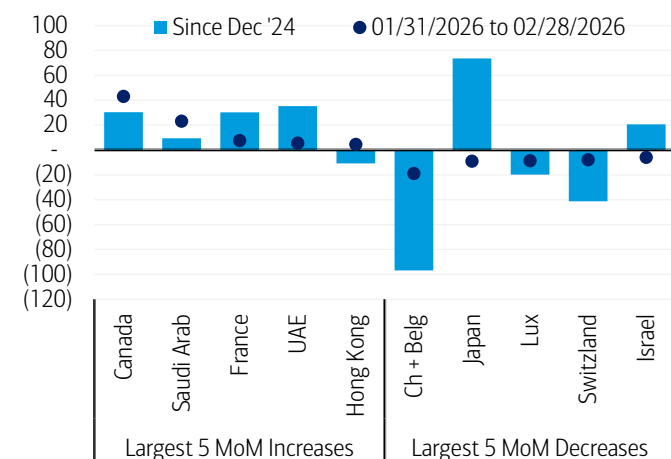


Source: BofA Global Research, Bloomberg, TIC, note: references the valuation-adjusted flow

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Exhibit 30: Largest MoM changes in foreign TSY holdings (\$bn)

Japan, UK biggest buyers; Canada & China + Belgium biggest sellers

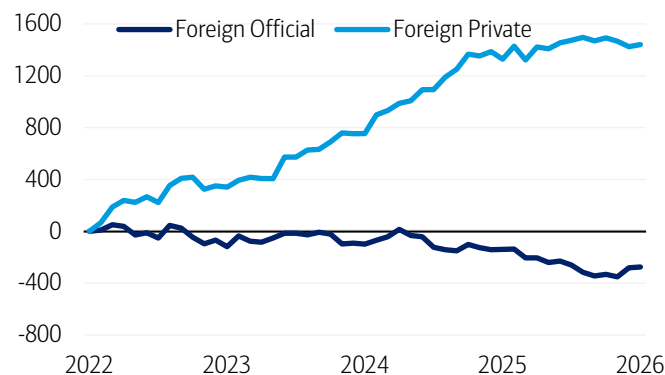


Source: BofA Global Research, TIC, Note: adjusted for level of rates

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Exhibit 31: Cumulative UST flows from foreign investors (\$bn)

Foreign holdings increased in February

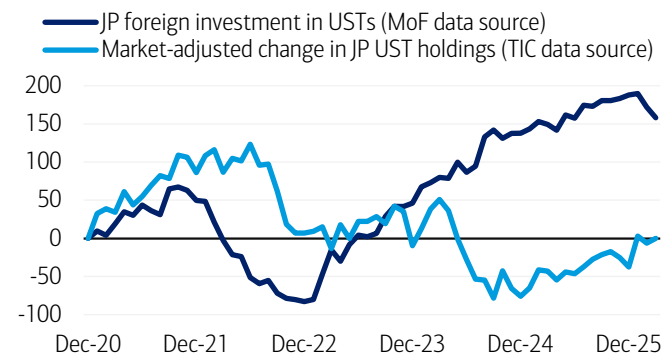


BofA Global Research, Bloomberg, TIC, note: references the valuation-adjusted flow

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Exhibit 32: Cumulative change in Japanese investor holdings of USTs

Higher foreign private buying vs combined private & official Japanese holdings of UST



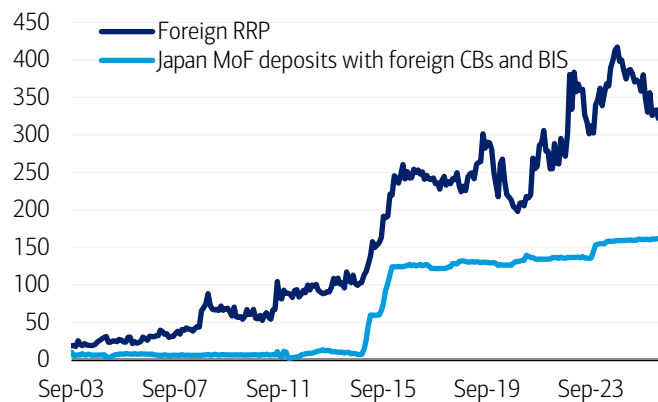
Source: BofA Global Research, Bloomberg, TIC

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Exhibit 33: Japanese deposits with other central banks and Fed foreign repo pool (\$bn)

Vast majority of \$162bn in MoF deposits likely at Fed's foreign repo pool



Source: Japan MoF, Federal Reserve, Bloomberg

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Exhibit 35: Monthly change in Japanese investor foreign bond holdings (\$USD, bn)

Mar saw selling from pensions, lifers, and banks

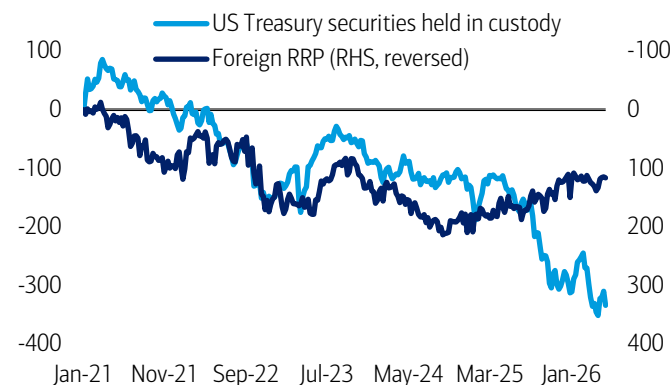
	Pension	Lifer	Bank
Apr - 26	5.7	-0.5	-4.3
Mar - 26	-3.8	-4.0	-9.9
Feb - 26	7.8	-4.0	-20.1
Jan - 26	5.0	0.3	-1.2
Dec - 25	-1.0	-1.6	1.9
Nov - 25	2.8	-0.4	-1.0
Oct - 25	3.4	-0.3	-8.0
Sep - 25	5.7	0.2	0.2
Aug - 25	13.5	0.6	-8.9
Jul - 25	2.8	-1.3	24.1
Jun - 25	10.9	0.0	-5.7
May - 25	4.0	3.7	20.4
Apr - 25	-5.4	-0.5	-17.8

Source: BofA Global Research, Japanese MoF

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Exhibit 34: Cumulative change in custody holdings and foreign RRP

UST securities held in custody are typically negatively correlated with foreign RRP take-up but we have seen some divergence since July '25

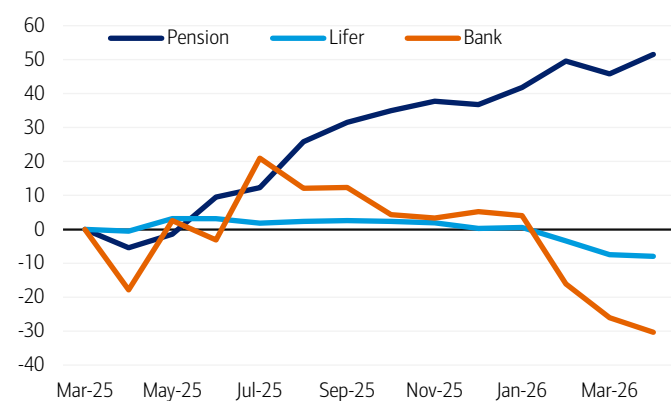


Source: BofA Global Research, Federal Reserve

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Exhibit 36: Cumulative change in Japanese investor foreign bond holdings (\$USD, bn)

Pension holdings have increased in recent months



Source: BofA Global Research, Japanese MoF

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Fund flows and returns

Exhibit 37: US fixed income fund flows (\$million)

US FI funds saw strong outsized inflows vs rolling 4w average, driven by mixed allocation, IG corp, and short-term gov't funds

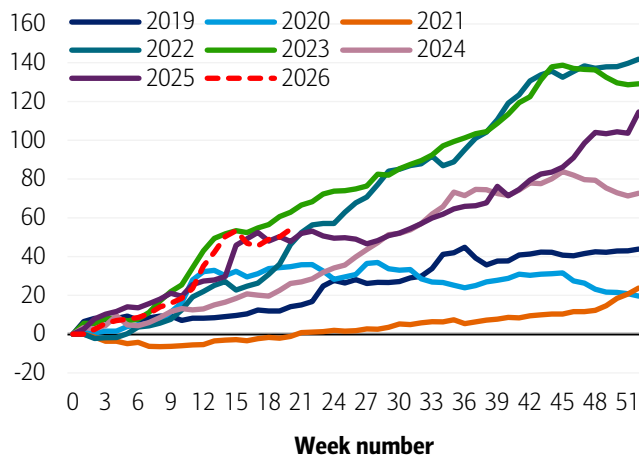
	May 13 '26	Rolling 4w average	Rolling 8w average	Rolling 12w average	Rolling 52w average
Gov: short	3,286	893	2,034	2,590	1,518
Gov: intermediate	702	605	418	768	576
Gov: long	(54)	315	(79)	(15)	138
Corp: IG	3,213	1,150	877	952	1,107
Corp:HY	1,120	553	264	(401)	312
Corp: all quality	175	145	77	58	81
MBS	618	467	296	285	413
Inflation	617	594	454	352	298
Muni	1,895	1,656	953	1,127	1,236
Mixed allocation	6,408	5,889	3,001	3,840	5,481
All US FI	17,938	12,483	8,492	9,231	11,093

Source: BofA Global Research, EPFR

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Exhibit 38: Sovereign fund inflows by year (\$bn)

2025 inflows rose steadily over the year; 2026 inflows greater than last year

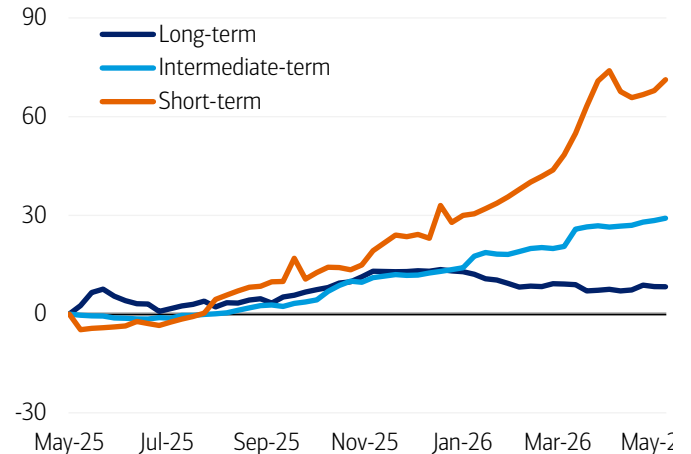


BofA Global Research, EPFR

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Exhibit 39: Sovereign fund inflows by year (\$bn)

Short-term inflows were strong at the start of 2025 but slowed since April



BofA Global Research, EPFR

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Exhibit 40: Total return FI fund performance vs benchmark

On the week, AUM weighted funds were in line with benchmark performance

	AUM (\$Bn)	May 14 '26	Vs. Agg	Last 4w	Vs. Agg
Vanguard Total Bond Market II Index Fund	372	-0.34%	-0.03%	-0.53%	-0.02%
Vanguard Total Bond Market Index Fund	236	-0.24%	0.08%	-0.53%	-0.01%
PIMCO Income fund	226	-0.45%	-0.14%	-0.60%	-0.09%
The Bond Fund of America	100	-0.36%	-0.05%	-0.56%	-0.05%
MetWest Total Return Bond Fund	29	-0.38%	-0.07%	-0.74%	-0.22%
PIMCO Total Return Fund	47	-0.48%	-0.16%	-0.66%	-0.14%
Dodge & Cox Income Fund	108	-0.31%	0.00%	-0.62%	-0.11%
PGIM Total Return Bond Fund	53	-0.25%	0.07%	-0.49%	0.02%
BlackRock Strategic Income Opportunities Fund	48	0.19%	0.51%	0.57%	1.08%
Baird Aggregate Bond Fund	57	-0.30%	0.01%	-0.49%	0.02%
JPMorgan Core Bond Fund	52	-0.29%	0.02%	-0.61%	-0.09%
DoubleLine Total Return Bond Fund	31	-0.34%	-0.03%	-0.61%	-0.09%
Fidelity Series Investment Grade Bond Fund	37	-0.31%	0.00%	-0.56%	-0.05%
Fidelity Total Bond Fund	42	-0.23%	0.08%	-0.41%	0.11%
Western Asset Core Plus Bond Portfolio	4	-0.34%	-0.03%	-0.48%	0.03%
Baird Core Plus Bond Fund	45	-0.20%	0.12%	-0.35%	0.16%
John Hancock Bond Fund	23	-0.36%	-0.05%	-0.54%	-0.03%
TIAA-CREF Bond Index Fund	22	-0.34%	-0.02%	-0.62%	-0.11%
BlackRock Total Return Fund	18	-0.12%	0.20%	-0.26%	0.25%
JPMorgan Core Plus Bond Fund	25	-0.28%	0.04%	-0.37%	0.14%
Bridge Builder Core Bond Fund	28	-0.24%	0.07%	-0.54%	-0.03%
T Rowe Price New Income Fund	18	-0.17%	0.14%	-0.43%	0.08%
Western Asset Core Bond Fund	2	-0.38%	-0.07%	-0.50%	0.01%
CREF Bond Market Account	12	-0.27%	0.04%	-0.46%	0.05%
Fidelity Investment Grade Bond Fund	12	-0.20%	0.11%	-0.53%	-0.02%
DoubleLine Core Fixed Income Fund	7	-0.33%	-0.01%	-0.50%	0.01%
TCW Total Return Bond Fund	2	-0.39%	-0.07%	-0.64%	-0.13%
Janus Henderson Flexible Bond Fund	3	-0.37%	-0.06%	-0.53%	-0.02%
Weighted avg	1656	-0.31%	0.00%	-0.51%	0.00%
Agg		-0.31%		-0.51%	
10y return		-0.96%		-1.70%	

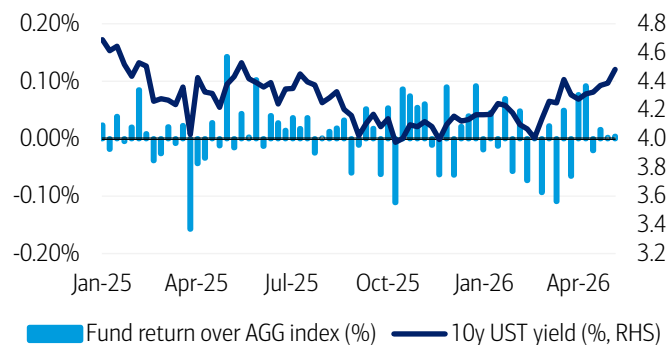
Source: BofA Global Research, Bloomberg, Note: Excess returns are fund total returns over Bloomberg Barclays Agg Index

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Exhibit 41: Total return funds, excess return vs. 10y rate

Weekly asset-weighted total returns for total return funds. Funds return in line with benchmark on the week

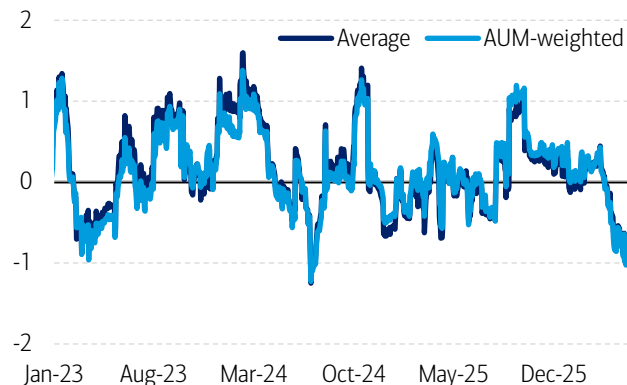


Source: BofA Global Research, Bloomberg. Note: Excess returns are fund total returns over Bloomberg Barclays Agg index

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Exhibit 43: UST beta from PCA regression (z-score)

Betas suggest funds are underweight benchmark duration; lower beta = funds' underweight duration versus benchmark

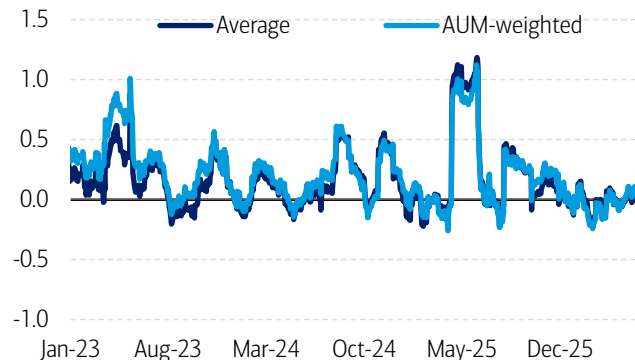


Source: BofA Global Research, Bloomberg. Z-score calculated over fund beta differences vs Agg back to May 2015

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Exhibit 45: Curve beta from PCA regression (z-score)

Betas suggest funds are likely positioning for steepeners; higher beta = funds positioning for steepeners versus benchmark

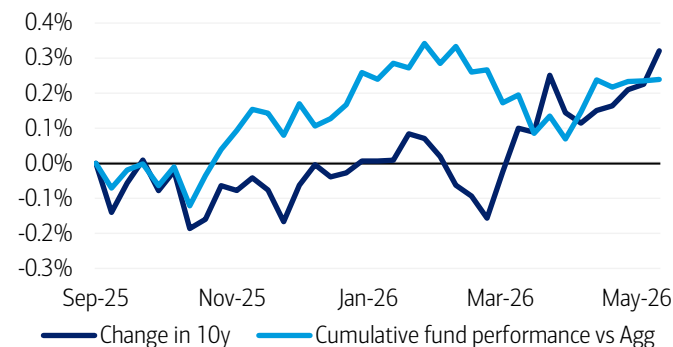


Source: BofA Global Research, Bloomberg. Z-score calculated over fund beta differences vs Agg back to May 2015

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Exhibit 42: Cumulative return of TR FI funds over benchmark vs 10yT

Funds have modestly outperformed in recent months

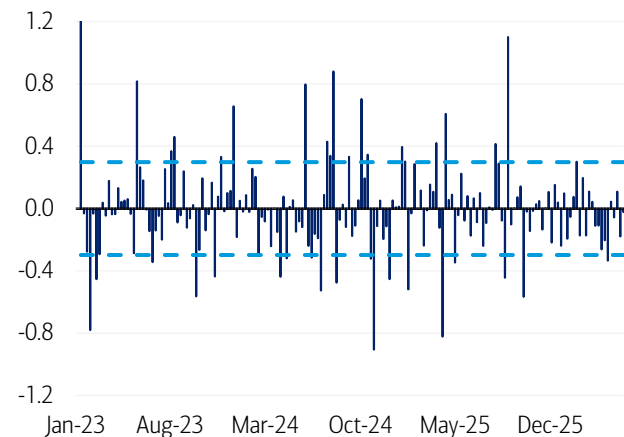


Source: BofA Global Research, Bloomberg. Note: Excess returns are fund total returns over Bloomberg Barclays AGG index

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Exhibit 44: WoW change in UST beta from PCA regression

Funds' duration declined modestly on the week

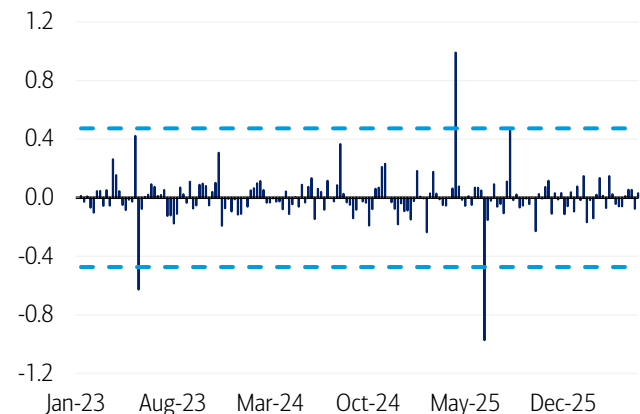


Source: BofA Global Research, Bloomberg. WoW changes calculated from average fund beta

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Exhibit 46: WoW change in curve beta from PCA regression

Curve bias little changed on the week

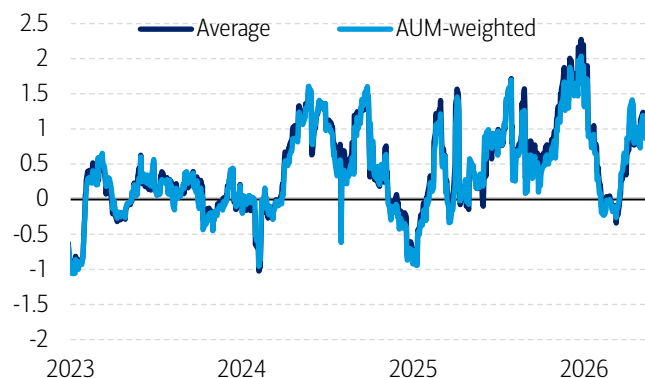


Source: BofA Global Research, Bloomberg. WoW changes calculated from average fund beta

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Exhibit 47: MBS beta from PCA regression (z-score)

Betas suggest funds are overweight MBS; higher beta = funds overweight MBS versus benchmark

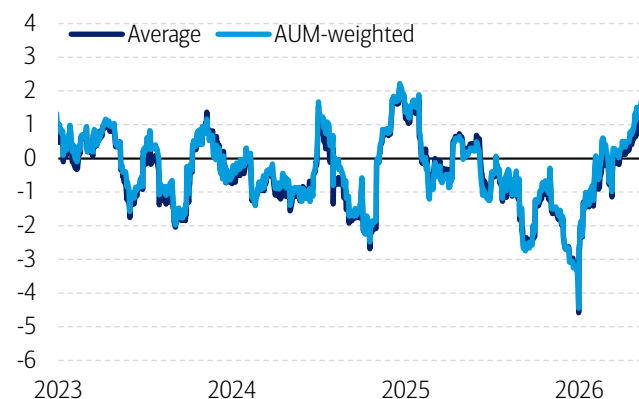


Source: BofA Global Research, Bloomberg, Z-score calculated over fund beta differences vs Agg back to May 2015

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Exhibit 48: IG beta from PCA regression (z-score)

Betas suggest funds have added IG risk vs benchmark; lower beta = funds underweight IG versus benchmark

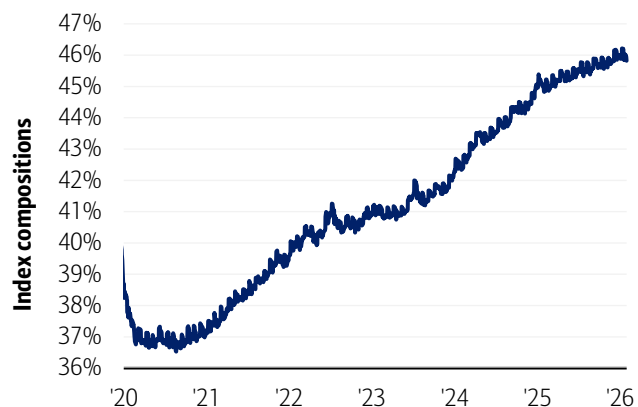


Source: BofA Global Research, Bloomberg, Z-score calculated over fund beta differences vs Agg

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Exhibit 49: Bloomberg US Aggregate Bond Fund – Treasury share through time

US Treasury's share at 46% on the week

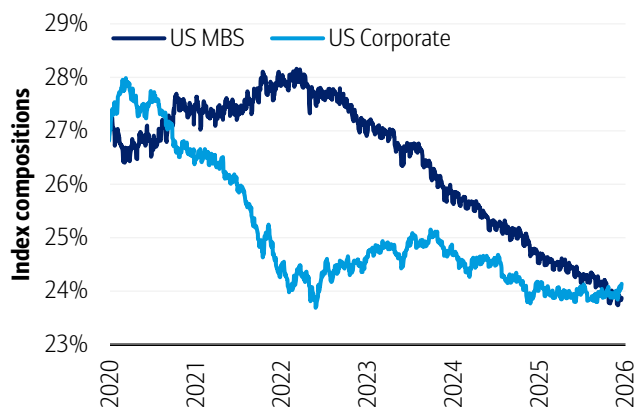


Source: BofA Global research, Bloomberg

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Exhibit 50: Bloomberg US Aggregate Bond Fund – MBS and Corporate share through time

US corporate and MBS shares have slowly trended lower



Source: BofA Global research, Bloomberg

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Bank balance sheets

Exhibit 51: Changes to bank balance sheet assets (\$bn)

Bank total assets increased in the week, driven by predominantly foreign activity as foreign cash net positive vs others

		Current (May 06 '26)	1w change	Rolling 4w avg wkly chg	Rolling 8w avg wkly chg	Rolling 12w avg wkly chg	Rolling 52w avg wkly chg
All (\$bn, NSA)	Total Assets	25341	35	5	33	39	26
	Cash	3068	80	-24	0	5	-3
	UST & Agency	2007	-1	-1	-4	0	3
	MBS	2731	10	0	0	1	1
	Loans and Leases	13759	0	23	29	23	18
	Other	3776	-53	8	8	9	7
Large Domestic (\$bn, NSA)	Total Assets	15039	22	13	19	24	19
	Cash	1383	21	-3	-6	0	1
	UST & Agency	1611	1	-1	-3	0	2
	MBS	2013	-1	-1	-1	0	0
	Loans and Leases	7739	4	16	19	14	11
	Other	2293	-2	2	10	9	5
Small Domestic (\$bn, NSA)	Total Assets	6819	-3	-6	2	5	6
	Cash	481	-4	-10	-6	-1	0
	UST & Agency	248	-1	0	0	0	0
	MBS	657	4	0	1	1	1
	Loans and leases	4659	-1	4	5	5	4
	Other	775	0	1	1	1	0
All Domestic (\$bn, NSA)	Total Assets	21859	20	8	21	29	25
	Cash	1864	16	-14	-11	-1	2
	UST & Agency	1859	0	-1	-2	0	2
	MBS	2670	3	-1	0	1	1
	Loans and leases	12398	3	20	24	19	15
	Other	3068	-3	3	11	10	6
Foreign (\$bn, NSA)	Total Assets	3482	15	-3	11	10	1
	Cash	1205	64	-11	11	6	-4
	UST & Agency	147	-1	-1	-1	0	0
	MBS	62	7	1	0	1	0
	Loans and leases	1361	-4	2	5	4	3
	Other	708	-50	5	-3	-1	1

Source: BofA Global Research, Federal Reserve, Bloomberg

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Exhibit 52: Select bank balance sheet liabilities (\$bn, NSA)

Week ending May 6 saw modest increase in large domestic deposits and foreign other borrowings

		Current (May 06 '26)	1w change	Rolling 4w avg wkly chg	Rolling 8w avg wkly chg	Rolling 12w avg wkly chg	Rolling 52w avg wkly chg
Deposits (\$bn, NSA)	All	19110	70	-29	18	30	21
	Domestic	17632	63	-37	10	28	20
	Large Domestic	12050	59	-24	10	25	15
	Small Domestic	5582	4	-13	-1	3	5
	Foreign	1478	7	8	9	2	1
	Other	2397	102	45	22	13	2
Other borrowing (\$bn, NSA)	Domestic	1407	8	33	13	6	1
	Large Domestic	1093	3	27	9	3	1
	Small Domestic	315	5	6	3	2	0
	Foreign	990	94	12	9	7	1

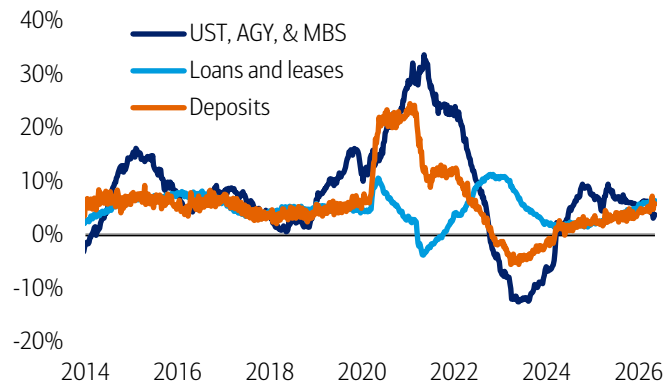
Source: BofA Global Research, Federal Reserve, Bloomberg

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Exhibit 53: YoY change in securities, loans, and deposits

Securities growth usually only positive when deposit growth is positive

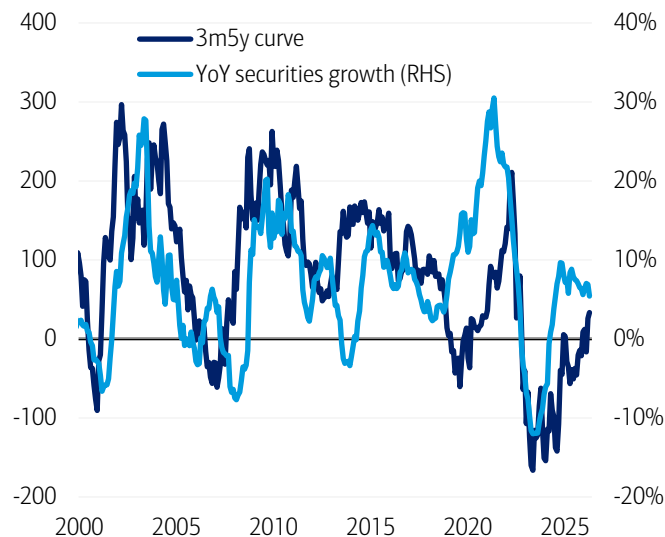


Source: BofA Global Research, Bloomberg, Federal Reserve

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Exhibit 55: 3m5y curve (bps) & YoY securities growth

Securities portfolios tend to grow when curve is upward sloping

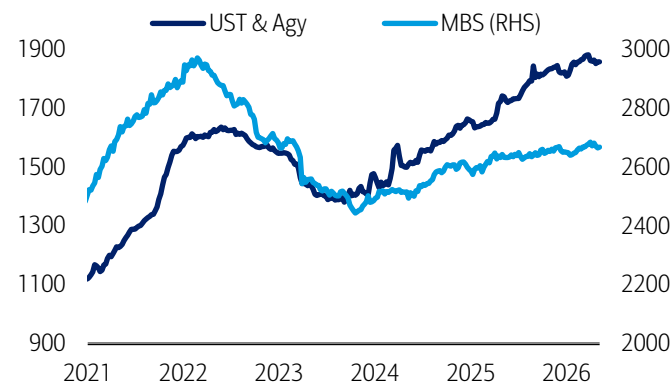


Source: BofA Global Research, Federal Reserve

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Exhibit 54: Domestic bank holdings of UST& Agy, MBS (\$bn)

Domestic banks' UST & AGY holdings have seen a faster pace of increase in recent months while MBS has been relatively flat

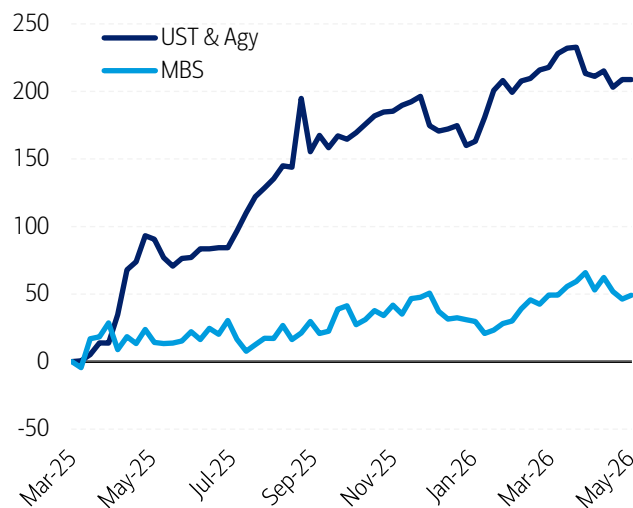


Source: BofA Global Research, Bloomberg, Federal Reserve

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Exhibit 56: Cumulative change in domestic bank holdings of UST & Agency, MBS (\$bn)

Domestic bank UST & AGY holdings are notably higher vs MBS since Feb '25



Source: BofA Global Research, Bloomberg, Federal Reserve

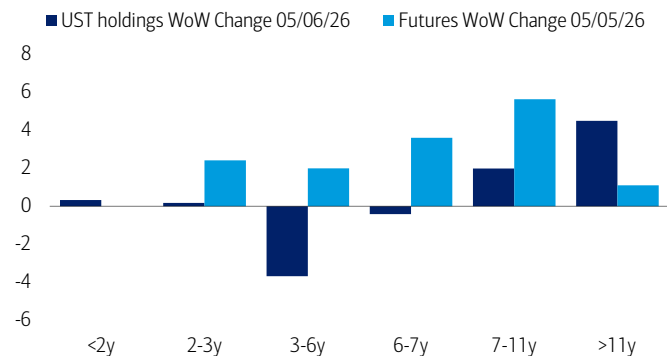
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Primary dealer balance sheet

Exhibit 57: Dealers WoW change in positions

Holdings have increased notably at long end across cash & futures

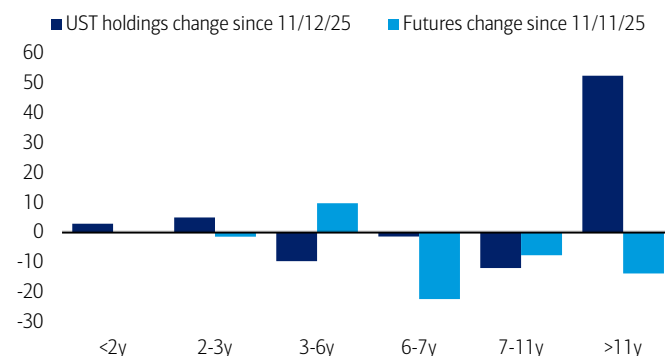


Source: BofA Global Research, NY Fed, CFTC

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Exhibit 58: Dealers change in positions over last 6 months

Long-end futures holdings have increased meaningfully

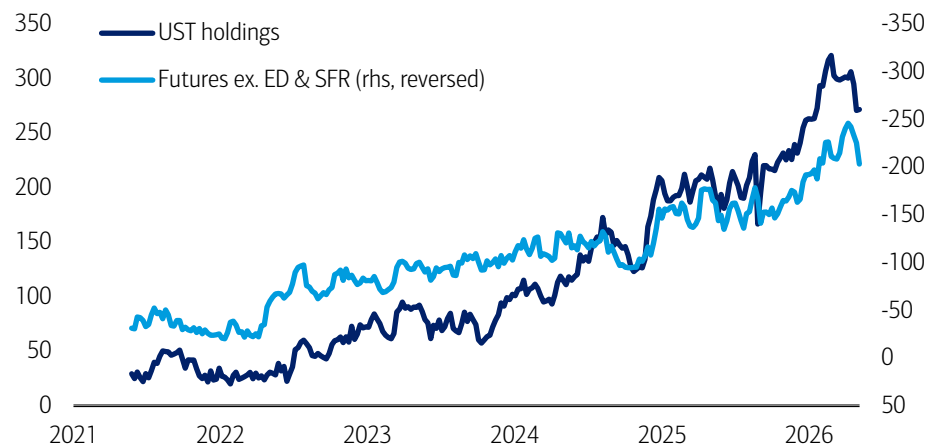


Source: BofA Global Research, NY Fed, CFTC

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Exhibit 59: Dealers total sector positions

10y equivalent, \$bn, short futures positions coincide with long Treasury security holdings.



Source: BofA Global Research, NY Fed, CFTC, Note: futures on RHS axis

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Auction statistics

Exhibit 60: Auction summary statistics

Z-score calculated on levels, Investment fund participation in auctions remains robust

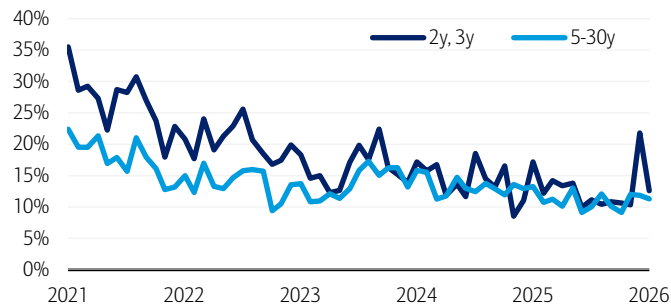
		Primary Dealer	Indirect Bidder	Direct Bidder	Investment Fund	Foreign	Depository Institution
2y	Apr 30 '26	11.9%	56.5%	31.6%	72.9%	13.3%	0.0%
	MoM Change	-12.2%	-2.9%	15.1%	8.7%	4.5%	0.0%
	1Y Z-score	-0.1	-0.4	0.3	0.2	-0.1	-0.3
3y	Apr 15 '26	13.3%	74.8%	11.9%	73.8%	11.8%	0.0%
	MoM Change	-6.2%	15.0%	-8.8%	10.1%	-2.2%	0.0%
	1Y Z-score	-0.1	1.4	-1.4	0.6	-0.2	-0.7
5y	Apr 30 '26	12.7%	15.0%	72.3%	73.1%	12.0%	0.0%
	MoM Change	-2.9%	-7.5%	10.4%	4.3%	-1.1%	0.0%
	1Y Z-score	0.8	-1.7	1.5	0.3	-0.8	-0.3
7y	Apr 30 '26	11.6%	58.4%	30.0%	72.8%	13.2%	0.1%
	MoM Change	-0.8%	-4.2%	5.0%	3.8%	-2.6%	0.1%
	1Y Z-score	0.3	-0.8	0.7	0.4	-0.7	-0.2
10y	Apr 15 '26	10.8%	65.3%	23.9%	72.1%	14.8%	0.0%
	MoM Change	-1.9%	-9.2%	11.1%	6.5%	-2.9%	-1.3%
	1Y Z-score	0.2	-0.8	0.7	0.9	-1.1	-0.4
20y	Apr 30 '26	9.7%	67.4%	22.9%	74.7%	12.4%	0.0%
	MoM Change	0.5%	-1.8%	1.3%	2.8%	-3.5%	0.0%
	1Y Z-score	-0.6	0.6	-0.1	0.4	0.2	0.0
30y	Apr 15 '26	11.6%	64.1%	24.2%	74.6%	10.5%	0.0%
	MoM Change	2.2%	0.7%	-3.0%	-2.5%	-1.0%	0.0%
	1Y Z-score	0.0	0.0	0.0	0.7	-0.9	-0.3

Source: BofA Global Research, Treasury

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Exhibit 61: Primary dealer – average auction allotment

Dealer participation remains low

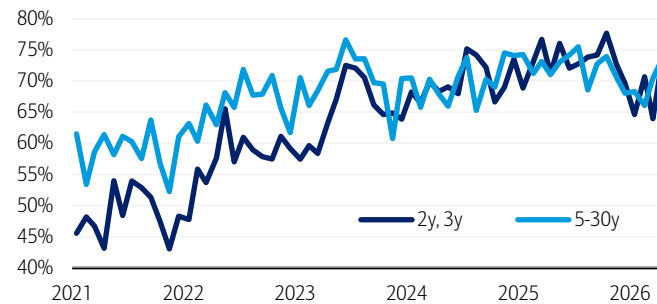


BofA Global Research, Treasury

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Exhibit 62: Investment fund – average auction allotment

Fund participation remains elevated

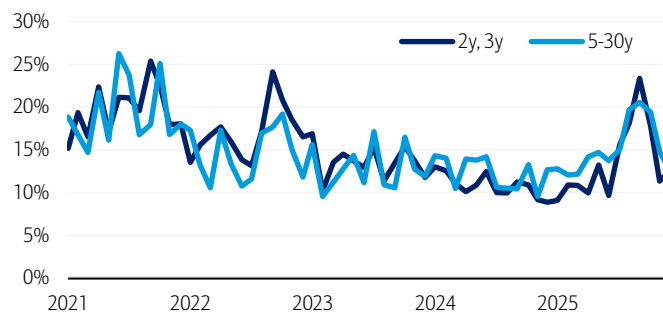


BofA Global Research, Treasury

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Exhibit 63: Avg foreign investment at auction (all nominal coupons)

Foreign participation increased modestly

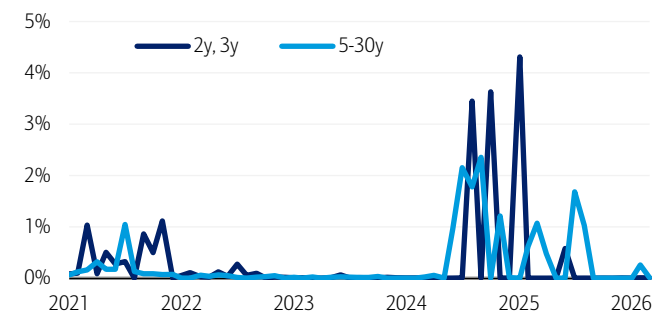


BofA Global Research, Treasury

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Exhibit 64: Depository institutions – average auction allotment

Depository participation is lower



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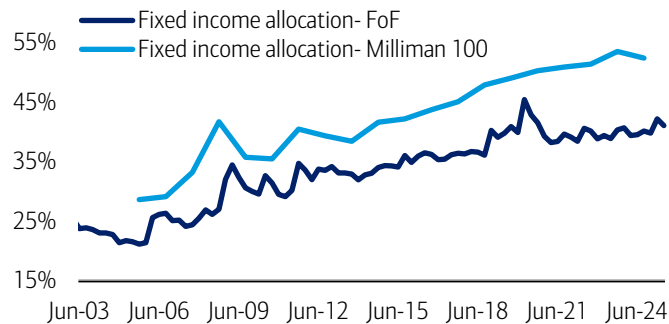
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Pensions

Exhibit 65: DB private pension fixed income allocation from Flow of Funds and smaller Milliman subset

Milliman funds have higher fixed income share of assets vs broader private DB pension funds according to FoF

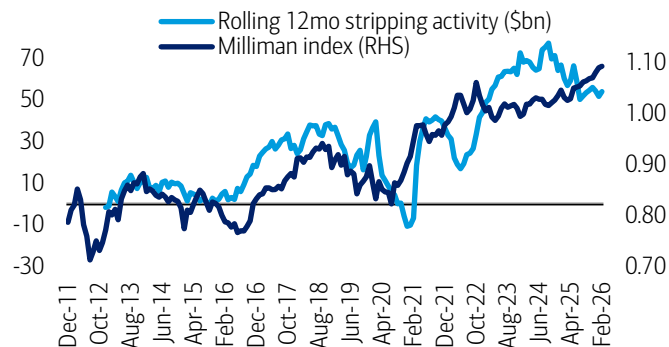


Source: BofA Global Research, Milliman, Federal Reserve

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Exhibit 67: Milliman index and 12-month increase in USTs held in stripped form

Stripping activity has moderated from end '24 peak while Milliman funds are still well funded

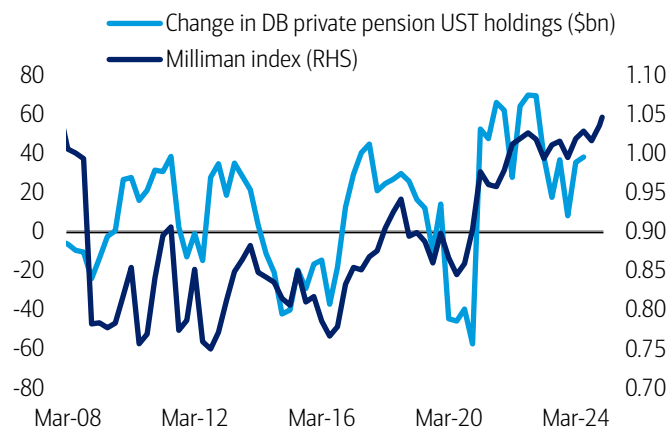


Source: BofA Global Research, Bloomberg

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Exhibit 69: UST holdings of private DB pensions and funded status

When funded status is higher, pension funds buy more USTs

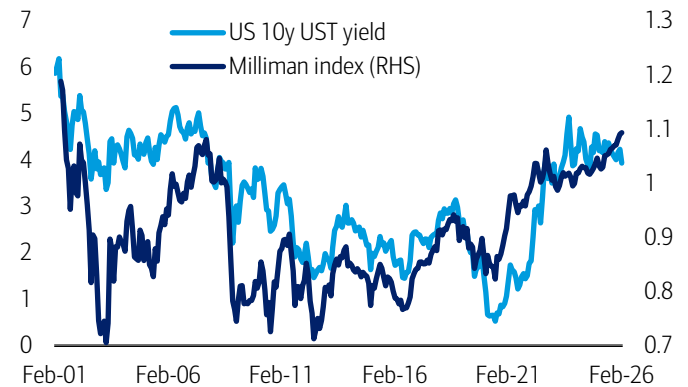


Source: BofA Global Research, Bloomberg, Federal Reserve

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Exhibit 66: 10y UST yield and Milliman pension funded index

Funded status historically improves with an increase in interest rates

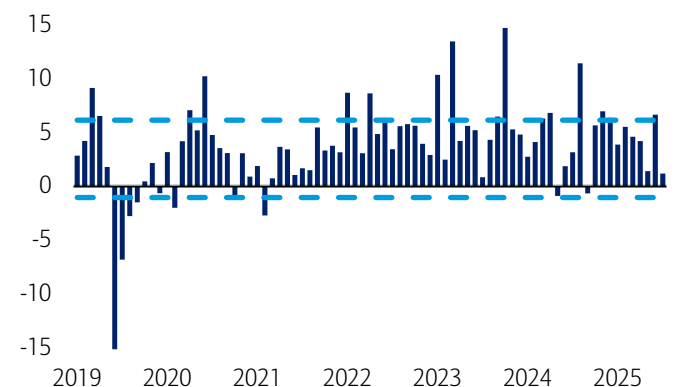


Source: BofA Global Research, Bloomberg

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Exhibit 68: Change in USTs held in stripped form (\$bn)

UST stripping activity below average in April



Source: BofA Global Research, Note: dashed line is 1stdev over last 15y

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Appendix

A.1. Reference for futures positioning proxy

Exhibit 70: How to read futures positioning proxies (OI = open interest)

Change in direction in OI & rates give insights to change in positioning

Direction of OI	Direction of rates	Indicator
OI up	Rates up	Shorts created
OI up	Rates down	Longs created
OI down	Rates up	Longs destroyed
OI down	Rates down	Shorts destroyed

Source: BofA Global Research

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A.2. Positioning signals versus history

Below we compare the signals from various positioning metrics historically. We find that the fund regression tends to move largely in a trend-like fashion: when positioning is stretched long, rates tend to rally in subsequent months. By contrast, our futures positioning proxy is more contrarian for duration: when the net out of the money position is long, rates tend to sell off in subsequent months. CTA betas don't show a strong relationship to future curve or duration moves.

Exhibit 71: Summary of positioning indicator historical signals

Signal is based on qualitative assessment of historical rates & curve moves versus positioning indicator over 5y history

	Duration	Curve
Fund regression	Follower	Follower
CTA beta	No signal	No signal
Futures proxy	Modest contrarian	No signal
CFTC asset manager	Follower	Modest contrarian
CFTC non-commercial	Modest contrarian	No signal
CFTC non-commercial ex-leveraged fund	Follower	Modest contrarian

Source: BofA Global Research

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Note: tables below compare the 10y rate move and 2s10s curve change in bps versus average using 5y history

Exhibit 72: US Agg fund PCA: duration

Largely a trend following signal; when positioning is short rates generally increase over subsequent months

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	-3	-4	2	16	24	23
10 to 20	19	37	43	36	35	41
20 to 30	16	25	26	33	34	27
30 to 40	12	15	22	27	28	28
40 to 50	-2	3	5	4	6	5
50 to 60	-9	-3	-5	1	8	17
60 to 70	-9	-15	-23	-36	-39	-26
70 to 80	-10	-23	-26	-39	-48	-48
80 to 90	-17	-28	-43	-58	-65	-88
90 to 100	3	-11	-11	-5	-9	-25
z-score						
<10	-0.25	-0.26	-0.17	0.01	0.05	-0.07
10 to 20	0.48	0.68	0.61	0.35	0.21	0.20
20 to 30	0.39	0.42	0.28	0.30	0.20	-0.01
30 to 40	0.25	0.18	0.21	0.19	0.11	0.00
40 to 50	-0.23	-0.10	-0.12	-0.20	-0.24	-0.34
50 to 60	-0.46	-0.25	-0.30	-0.24	-0.21	-0.16
60 to 70	-0.48	-0.54	-0.65	-0.87	-0.92	-0.79
70 to 80	-0.50	-0.73	-0.72	-0.93	-1.07	-1.11
80 to 90	-0.74	-0.84	-1.05	-1.25	-1.32	-1.68
90 to 100	-0.04	-0.43	-0.43	-0.36	-0.46	-0.77

Source: BofA Global Research, Bloomberg; Note higher percentile = longer duration positioning.
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Exhibit 74: CTA beta: duration

No clear signal; when CTAs are long & short no meaningful difference in how rates move

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	11	1	-16	-17	3	43
10 to 20	-5	-3	-12	-12	-5	8
20 to 30	-10	-8	-4	-3	-1	-5
30 to 40	3	14	20	27	16	10
40 to 50	4	0	12	10	5	-7
50 to 60	1	1	11	12	10	-2
60 to 70	7	17	16	3	-9	-21
70 to 80	-1	3	-2	-3	-5	-1
80 to 90	5	1	2	7	5	7
90 to 100	-13	-26	-25	-21	-17	-19
z-score						
<10	0.20	-0.17	-0.57	-0.68	-0.42	0.12
10 to 20	-0.33	-0.26	-0.50	-0.59	-0.56	-0.44
20 to 30	-0.49	-0.36	-0.34	-0.42	-0.48	-0.65
30 to 40	-0.04	0.14	0.12	0.12	-0.20	-0.41
40 to 50	-0.04	-0.18	-0.03	-0.19	-0.39	-0.67
50 to 60	-0.14	-0.15	-0.05	-0.14	-0.29	-0.60
60 to 70	0.08	0.21	0.04	-0.32	-0.63	-0.90
70 to 80	-0.18	-0.11	-0.30	-0.42	-0.56	-0.58
80 to 90	0.00	-0.17	-0.22	-0.24	-0.38	-0.46
90 to 100	-0.61	-0.80	-0.75	-0.74	-0.75	-0.87

Source: BofA Global Research, Bloomberg; Note higher percentile = longer duration positioning.
BofA GLOBAL RESEARCH

Exhibit 73: US Agg funds PCA: curve

Largely a trend following signal; when positioning is in steepener curve generally steepens over subsequent months

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	3	3	0	-5	2	9
10 to 20	-6	-3	-1	0	-3	3
20 to 30	-1	5	7	8	5	3
30 to 40	6	9	15	16	13	10
40 to 50	0	5	9	8	9	8
50 to 60	0	8	7	7	1	-7
60 to 70	2	4	4	2	6	13
70 to 80	-1	-9	-9	-4	-5	-11
80 to 90	-1	-10	-11	-8	-6	-9
90 to 100	-3	-13	-20	-25	-21	-16
z-score						
<10	0.18	0.13	0.02	-0.09	0.11	0.25
10 to 20	-0.33	-0.09	-0.01	0.04	0.00	0.15
20 to 30	-0.04	0.20	0.23	0.25	0.17	0.15
30 to 40	0.33	0.35	0.48	0.45	0.34	0.28
40 to 50	0.01	0.19	0.29	0.25	0.26	0.23
50 to 60	0.02	0.29	0.24	0.23	0.09	-0.05
60 to 70	0.11	0.18	0.14	0.10	0.20	0.34
70 to 80	-0.05	-0.31	-0.23	-0.06	-0.06	-0.13
80 to 90	-0.06	-0.35	-0.31	-0.17	-0.06	-0.08
90 to 100	-0.14	-0.48	-0.57	-0.57	-0.40	-0.24

Source: BofA Global Research, Bloomberg; Note higher percentile = flatter curve positioning.
BofA GLOBAL RESEARCH

Exhibit 75: CTA beta: curve

No clear signal; when CTAs are in flatteners versus steepeners, no meaningful difference in how rates move

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	0	8	10	7	-5	-27
10 to 20	-2	-6	-14	-27	-32	-33
20 to 30	8	0	-5	-10	-13	-17
30 to 40	-6	-3	-9	-11	-10	-12
40 to 50	-4	-6	-2	-6	-8	-7
50 to 60	1	-2	0	-4	-6	-6
60 to 70	-5	-12	-11	-12	-12	-8
70 to 80	0	-2	-6	2	3	9
80 to 90	3	4	7	22	29	33
90 to 100	6	18	29	38	51	58
z-score						
<10	-0.01	0.29	0.32	0.24	-0.02	-0.40
10 to 20	-0.11	-0.21	-0.37	-0.61	-0.59	-0.52
20 to 30	0.46	0.03	-0.11	-0.18	-0.20	-0.20
30 to 40	-0.29	-0.10	-0.22	-0.21	-0.12	-0.11
40 to 50	-0.21	-0.19	-0.02	-0.09	-0.08	-0.02
50 to 60	0.08	-0.05	0.04	-0.03	-0.03	0.00
60 to 70	-0.27	-0.42	-0.26	-0.22	-0.17	-0.04
70 to 80	-0.01	-0.04	-0.13	0.11	0.16	0.29
80 to 90	0.18	0.16	0.25	0.60	0.73	0.77
90 to 100	0.35	0.68	0.89	0.99	1.20	1.25

Source: BofA Global Research, Bloomberg; Note higher percentile = flatter curve positioning.
BofA GLOBAL RESEARCH

Exhibit 76: Futures positioning proxy: duration

Modest contrarian signal; when positioning is short, rates tend to decline

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	-16	-17	-16	-15	-19	-18
10 to 20	-10	-10	-13	-10	-11	-14
20 to 30	-5	-7	-2	-11	-5	-2
30 to 40	5	1	0	5	13	17
40 to 50	8	8	3	5	10	15
50 to 60	7	9	5	3	2	9
60 to 70	3	1	9	15	16	10
70 to 80	4	9	14	18	14	6
80 to 90	-4	0	-2	-1	-4	-8
90 to 100	8	6	1	-12	-20	-20
z-score						
<10	-0.70	-0.58	-0.52	-0.52	-0.63	-0.67
10 to 20	-0.51	-0.43	-0.48	-0.44	-0.50	-0.61
20 to 30	-0.35	-0.35	-0.26	-0.45	-0.41	-0.44
30 to 40	0.02	-0.15	-0.22	-0.18	-0.13	-0.16
40 to 50	0.11	0.00	-0.16	-0.18	-0.18	-0.19
50 to 60	0.06	0.02	-0.13	-0.21	-0.30	-0.28
60 to 70	-0.05	-0.15	-0.04	-0.01	-0.08	-0.26
70 to 80	-0.03	0.02	0.05	0.03	-0.10	-0.32
80 to 90	-0.30	-0.18	-0.25	-0.29	-0.39	-0.52
90 to 100	0.10	-0.04	-0.20	-0.47	-0.64	-0.70

Source: BofA Global Research, Bloomberg; Note higher percentile = longer duration positioning.
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Exhibit 78: CFTC asset manager: duration

Modest trend following signal; when positioning is short rates tend to increase, though not when positioning is most stretched short (sub 10th percentile)

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	-11	-16	-11	-13	-5	4
10 to 20	13	21	29	39	46	53
20 to 30	18	38	49	51	52	49
30 to 40	3	8	6	11	22	34
40 to 50	-6	-9	-4	4	-5	-18
50 to 60	-6	-24	-38	-57	-64	-73
60 to 70	-8	-8	-12	-9	-5	8
70 to 80	19	29	28	19	0	-21
80 to 90	-14	-17	-21	-26	-33	-37
90 to 100	-9	-28	-52	-58	-57	-
z-score						
<10	-0.53	-0.54	-0.43	-0.50	-0.45	-0.40
10 to 20	0.30	0.31	0.35	0.39	0.36	0.34
20 to 30	0.46	0.69	0.72	0.59	0.45	0.28
30 to 40	-0.04	0.00	-0.10	-0.09	-0.03	0.06
40 to 50	-0.35	-0.37	-0.29	-0.22	-0.46	-0.73
50 to 60	-0.36	-0.72	-0.95	-1.25	-1.39	-1.56
60 to 70	-0.42	-0.37	-0.45	-0.43	-0.45	-0.33
70 to 80	0.51	0.48	0.33	0.04	-0.38	-0.77
80 to 90	-0.60	-0.57	-0.61	-0.72	-0.90	-1.01
90 to 100	-0.46	-0.82	-1.21	-1.28	-1.28	-

Source: BofA Global Research, Bloomberg; Note higher percentile = longer duration positioning.
BofA GLOBAL RESEARCH

Exhibit 77: Futures positioning proxy: curve

No clear signal; when in flatteners versus steepeners, no meaningful difference in how rates move

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	7	10	13	15	12	18
10 to 20	5	7	9	6	-1	-6
20 to 30	0	-2	-7	-2	4	-6
30 to 40	-4	-4	-6	-7	-6	-7
40 to 50	-6	-6	-5	-8	-8	0
50 to 60	-6	-10	-10	-4	-5	-6
60 to 70	-6	-11	-11	-11	-16	-12
70 to 80	-1	-3	-4	-3	-3	-2
80 to 90	5	7	8	4	9	9
90 to 100	7	14	15	14	17	15
z-score						
<10	0.38	0.38	0.43	0.43	0.34	0.44
10 to 20	0.26	0.25	0.29	0.19	0.03	-0.03
20 to 30	0.00	-0.08	-0.18	-0.01	0.15	-0.03
30 to 40	-0.20	-0.12	-0.17	-0.13	-0.08	-0.06
40 to 50	-0.33	-0.23	-0.12	-0.15	-0.12	0.08
50 to 60	-0.30	-0.36	-0.26	-0.06	-0.05	-0.04
60 to 70	-0.34	-0.40	-0.29	-0.23	-0.29	-0.15
70 to 80	-0.07	-0.10	-0.09	-0.03	-0.01	0.03
80 to 90	0.25	0.26	0.27	0.14	0.26	0.26
90 to 100	0.35	0.52	0.49	0.41	0.45	0.38

Source: BofA Global Research, Bloomberg; Note higher percentile = flatter curve positioning.
BofA GLOBAL RESEARCH

Exhibit 79: CFTC asset manager: curve

Modest contrarian signal; when positioning is stretched in steepeners, curve tends to flatten

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	-13	-18	-21	-31	-43	-49
10 to 20	-7	-18	-29	-38	-47	-57
20 to 30	7	10	11	14	19	21
30 to 40	9	16	19	24	32	34
40 to 50	5	3	9	14	18	21
50 to 60	-2	-1	9	15	7	-5
60 to 70	-3	-1	4	16	24	29
70 to 80	-3	-9	-13	-8	-5	3
80 to 90	-1	7	7	-4	0	6
90 to 100	8	9	5	3	6	9
z-score						
<10	-0.65	-0.65	-0.60	-0.72	-0.87	-0.84
10 to 20	-0.38	-0.63	-0.83	-0.90	-0.95	-1.01
20 to 30	0.35	0.36	0.35	0.40	0.48	0.50
30 to 40	0.46	0.61	0.59	0.63	0.78	0.75
40 to 50	0.25	0.13	0.30	0.40	0.46	0.50
50 to 60	-0.11	-0.04	0.28	0.42	0.22	0.00
60 to 70	-0.17	-0.04	0.15	0.44	0.60	0.65
70 to 80	-0.16	-0.33	-0.35	-0.16	-0.05	0.15
80 to 90	-0.06	0.26	0.23	-0.05	0.07	0.21
90 to 100	0.43	0.34	0.18	0.12	0.20	0.28

Source: BofA Global Research, Bloomberg; Note higher percentile = flatter curve positioning.
BofA GLOBAL RESEARCH



Exhibit 80: CFTC non-commercial: duration

Modest contrarian signal; when positioning is long, rates tend to increase more than when positioning is short

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	-1	4	-6	-19	-30	-30
10 to 20	1	-4	6	8	-9	-29
20 to 30	1	-2	-2	14	30	23
30 to 40	-10	-15	-25	-40	-41	-25
40 to 50	-6	-29	-55	-61	-70	-77
50 to 60	3	14	24	17	17	20
60 to 70	8	18	27	36	48	46
70 to 80	1	9	21	35	38	37
80 to 90	7	11	18	22	25	32
90 to 100	-3	-5	-7	-14	-13	-12
z-score						
<10	-0.17	-0.09	-0.33	-0.61	-0.84	-0.91
10 to 20	-0.10	-0.27	-0.10	-0.15	-0.51	-0.90
20 to 30	-0.10	-0.23	-0.25	-0.04	0.10	-0.12
30 to 40	-0.48	-0.52	-0.70	-0.97	-1.03	-0.83
40 to 50	-0.36	-0.85	-1.27	-1.32	-1.48	-1.62
50 to 60	-0.06	0.14	0.25	0.00	-0.10	-0.15
60 to 70	0.13	0.24	0.31	0.33	0.38	0.24
70 to 80	-0.10	0.04	0.19	0.32	0.22	0.11
80 to 90	0.08	0.07	0.14	0.09	0.02	0.03
90 to 100	-0.26	-0.28	-0.34	-0.52	-0.58	-0.63

Source: BofA Global Research, Bloomberg; Note higher percentile = longer duration positioning.
BofA GLOBAL RESEARCH

Exhibit 81: CFTC non-commercial: curve

No clear signal; when in flatteners versus steepeners, no meaningful difference in how rates move

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	6	9	4	3	5	20
10 to 20	1	-3	5	1	0	-3
20 to 30	-12	-13	-16	-9	-3	-15
30 to 40	-3	-8	3	1	0	3
40 to 50	-1	-4	-11	-8	-10	-3
50 to 60	-4	-11	-19	-22	-23	-21
60 to 70	1	2	-3	-9	-7	-5
70 to 80	6	12	15	13	15	11
80 to 90	4	7	5	8	9	10
90 to 100	3	11	26	37	32	17
z-score						
<10	0.32	0.32	0.15	0.11	0.18	0.48
10 to 20	0.05	-0.09	0.16	0.06	0.07	0.05
20 to 30	-0.60	-0.45	-0.45	-0.19	0.01	-0.19
30 to 40	-0.15	-0.27	0.11	0.06	0.07	0.16
40 to 50	-0.06	-0.14	-0.31	-0.16	-0.14	0.04
50 to 60	-0.21	-0.39	-0.54	-0.50	-0.43	-0.31
60 to 70	0.05	0.06	-0.05	-0.19	-0.07	-0.01
70 to 80	0.30	0.46	0.46	0.36	0.41	0.32
80 to 90	0.18	0.27	0.16	0.24	0.27	0.30
90 to 100	0.15	0.41	0.79	0.96	0.77	0.42

Source: BofA Global Research, Bloomberg; Note higher percentile = flatter curve positioning.
BofA GLOBAL RESEARCH

Exhibit 82: CFTC non-commercial ex leveraged fund: duration

Trend following signal; when positioning is short, rates tend to increase; when positioning is long, rates tend to decline.

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	-4	-2	7	5	19	26
10 to 20	8	20	31	41	41	54
20 to 30	11	17	19	30	37	33
30 to 40	18	29	35	35	30	18
40 to 50	-3	-6	0	3	9	14
50 to 60	-5	-4	-8	-8	-10	-2
60 to 70	2	5	8	7	-4	-18
70 to 80	-10	-24	-47	-51	-58	-62
80 to 90	-8	-15	-17	-41	-57	-63
90 to 100	-9	-28	-52	-58	-57	-
z-score						
<10	-0.30	-0.23	-0.09	-0.20	-0.08	-0.07
10 to 20	0.12	0.28	0.38	0.42	0.27	0.36
20 to 30	0.22	0.22	0.16	0.24	0.21	0.04
30 to 40	0.46	0.49	0.46	0.31	0.10	-0.18
40 to 50	-0.25	-0.32	-0.22	-0.23	-0.23	-0.24
50 to 60	-0.30	-0.28	-0.37	-0.42	-0.54	-0.49
60 to 70	-0.09	-0.05	-0.06	-0.17	-0.44	-0.73
70 to 80	-0.48	-0.72	-1.13	-1.16	-1.28	-1.39
80 to 90	-0.43	-0.52	-0.55	-0.98	-1.27	-1.42
90 to 100	-0.46	-0.82	-1.21	-1.28	-1.28	-

Source: BofA Global Research, Bloomberg; Note higher percentile = longer duration positioning.
BofA GLOBAL RESEARCH

Exhibit 83: CFTC non-commercial ex leveraged fund: curve

Modest contrarian signal; when positioning is stretched in steepeners, curve tends to flatten

	1m	2m	3m	4m	5m	6m
Realized less average (bps)						
<10	-7	-18	-26	-33	-41	-48
10 to 20	-6	-6	-5	-15	-27	-33
20 to 30	8	12	2	-4	-5	-4
30 to 40	-1	4	8	11	18	16
40 to 50	4	2	9	23	30	32
50 to 60	-5	-13	-14	-16	-10	-8
60 to 70	-1	7	7	10	8	9
70 to 80	-3	-4	4	6	6	10
80 to 90	5	11	15	20	27	24
90 to 100	7	9	5	7	10	18
z-score						
<10	-0.33	-0.63	-0.74	-0.78	-0.84	-0.82
10 to 20	-0.30	-0.21	-0.11	-0.34	-0.51	-0.53
20 to 30	0.41	0.46	0.09	-0.05	-0.04	0.03
30 to 40	-0.02	0.14	0.25	0.32	0.46	0.41
40 to 50	0.18	0.08	0.27	0.61	0.74	0.73
50 to 60	-0.26	-0.47	-0.40	-0.37	-0.15	-0.06
60 to 70	-0.07	0.25	0.24	0.30	0.26	0.27
70 to 80	-0.15	-0.16	0.15	0.20	0.20	0.30
80 to 90	0.28	0.42	0.47	0.53	0.66	0.56
90 to 100	0.38	0.34	0.18	0.20	0.30	0.45

Source: BofA Global Research, Bloomberg; Note higher percentile = flatter curve positioning.
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Appendix: Abbreviations and Acronyms

Agy = Agency
 avg = average
 chg = change
 CTA = Commodity trading advisor
 DB = defined benefit
 FoF = flow of funds
 FV = Treasury 5Y contract
 gov't = government
 ITM = in the money
 JGB = Japanese government bonds
 LDI = liability driven investors
 LT = long term
 MoF= ministry of finance
 OTM= out of the money
 PCA = principal component analysis
 PD = primary dealer
 PPTS = percentage points
 QT= quantitative tightening
 RRP = reverse repo program
 SFR = SOFR futures contract
 TGA = Treasury General Account
 TIC=Treasury International Capital
 TU = Treasury 2Y futures contract
 TY = Treasury 10Y contract
 US = Treasury 20Y contract
 UST= Treasury security
 UXY = Treasury ultra 10Y contract
 WN = Treasury 30Y contract
 y = year

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